TABLE 9. Country-level trust bias and managers' country-specific sentiments during earning calls.

Outcome →	(1) Managerial sentiments	(2) Managerial sentiments	(3) Managerial sentiments	(4) Managerial sentiments
Panel A				
Country-level trust bias (lot of trust—Eurobarometer)	1.612***	0.838**	1.046***	0.571***
	[0.288]	[0.365]	[0.121]	[0.145]
Observations	11,465	10,750	12,212	11,459
Panel B				
Country-level trust bias (graded—Eurobarometer)	0.593***	0.153*	0.406***	0.125***
	[0.141]	[0.087]	[0.076]	[0.045]
Observations	11,465	10,750	12,212	11,459
Panel C				
Country-level trust bias (lot of trust—online survey)	2.173***	0.594**	1.823***	0.322**
	[0.626]	[0.262]	[0.506]	[0.152]
Observations	18,956	17,988	21,910	20,869
Panel D				
Country-level trust bias (graded—online survey)	0.481**	0.060	0.494**	0.026
	[0.189]	[0.088]	[0.192]	[0.042]
Observations	18,956	17,988	21,910	20,869
Home-country × time FEs	Yes	Yes	Yes	Yes
Target-country × time FEs	Yes	Yes	Yes	Yes
Aggregated over	Financial firms	Financial firms	All firms	All firms
Country-pair sample	All	H-Country≠ T-Country	All	H-Country≠ T-Country

Notes: The table summarizes the results of equation (6) estimated over the full sample period from 2002-Q1 to 2020-Q4. Each panel displays a separate estimation with a different definition of *Country-level Trust Bias*, sourced either from Eurobarometer (panels A/B) or from our new online survey (panels C/D). Dependent variable is *Managerial Sentiments*, defined as the average managerial sentiment expressed across firms located in the same home country, talking about the same target country, at the same point in time, sourced from Hassan et al. (2024). For the detailed construction of the data, see Section 3. Robust standard errors are clustered at country-pair level and reported in brackets. *Significant at 10%; **significant at 5%; ***significant at 1%.

tone in managerial sentiments. This is more than half of the standard deviation of the dependent variable (see Table 1).

One might think that senior managers at headquarters are able to override prejudices and inefficiencies created by a lack of trust of employees of local subsidiaries. But the cultural stereotypes of employees of foreign subsidiaries can also affect decisions at headquarters through human capital flows that shape the composition of high-level managerial teams. Corporate culture in bank headquarters can be shaped by the tendency of banks to hire and promote internally for high-level

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managerial posts.[53] Given this tendency toward internal promotion, the more branches and employees a bank has in a country, the more likely it is that this nationality will be represented at directorial/managerial levels, other things being equal.

To provide empirical support for this mechanism, we gathered data from *BankFocus* on current and former directors and managers employed in the headquarters of the banks in our sample.[54] We then estimated the following specification at the bank–target-country level:

$$\text{Nationality at HQ}_{b,h,c} = \beta_1 \text{Bank Branches}_{bc} + \beta_2 \gamma_b + \beta_3 \mu_c + \beta_4 \lambda_{hc} + \varepsilon_{bhc}, \quad (7)$$

where *Nationality at* $HQ_{b,h,c}$ indicates whether, as of year 2022, bank b headquartered in country h has (or had) directors or managers with the nationality of the target country c. The variable of interest, *Bank Branches*$_{bc}$, measures branch presence of the bank b in target country c in 2016.

The first panel of Table 10 uses the number of bank branches, the second the log number of bank branches, and the third the share of the branches in the target country within the total branch portfolio of the bank. Column (1) does not include controls; subsequent columns progressively saturate the estimations with *Bank*, *Target Country*, and *Home-Country* × *Target-Country* fixed effects. The results support the conjecture that managerial teams disproportionately come from countries where banks have subsidiaries/branches. Column (5) indicates that a one-standard-deviation increase in the log number of branches in a target country is associated with an 8.4% rise in the probability of that country being represented among employees at bank headquarters. This corresponds to one third of the mean for the outcome variable.[55]

While this analysis does not establish a causal link between branch networks and the nationality composition of employees at bank headquarters, it is consistent with our framework of banks as hierarchies. It is consistent with the assumption that banks hire and promote from within, such that that the national composition of its branch network will affect the national composition of its board of directors, and that cultural stereotypes coloring information transmitted by subordinates will be received by directors with broadly similar cultural traits and biases.

53. To cite one data point, UBS filled more than a third of its vacancies internally in 2015 (Butcher, 2016).

54. Although we can trace individuals' names across all banks in our sample, we can see directors' and managers' nationalities only for a subset of banks, which is why the number of banks included in the sample for this part of the analysis is smaller (≈20% of the bank sample in Table 2).

55. In Online Appendix Table E.1, we restrict our sample to foreign target countries; and in Online Appendix Table E.2, we double-cluster the standard errors by country-pair and bank. In Online Appendix Tables E.3 and E.4, we restrict the sample of employees to senior managers (i.e., the executive board, board of directors, and senior management) for the full sample and only for foreign target countries, respectively. In Online Appendix Tables E.5 and E.6, we restrict the sample to the first (i.e., main) nationalities of the employees, again separately for all targets and for foreign targets. And in Online Appendix Tables E.7 and E.8, we similarly restrict the sample to the current managers (as of November 2022). Our interpretations are supported in all cases.

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TABLE 10. Bank-level branch networks and nationalities of directors/managers at bank headquarters.

Outcome →	(1) Nationality at HQ	(2) Nationality at HQ	(3) Nationality at HQ	(4) Nationality at HQ	(5) Nationality at HQ
Panel A					
Bank branches in target country	0.278***	0.281***	0.157***	0.156***	0.121**
	[0.043]	[0.042]	[0.024]	[0.024]	[0.053]
Panel B					
Log of bank branches in target country	0.110***	0.111***	0.074***	0.071***	0.046***
	[0.008]	[0.008]	[0.009]	[0.010]	[0.014]
Panel C					
Share of bank branches in target country	1.105***	1.105***	0.590***	0.590***	0.682**
	[0.087]	[0.087]	[0.096]	[0.096]	[0.282]
Bank FEs	No	Yes	No	Yes	Yes
Target-country FEs	No	No	Yes	Yes	No
Home-country × target-country FEs	No	No	No	No	Yes
Observations	660	660	660	660	600

Notes: The table summarizes the results of equation (7) estimated over a subset of banks included in EBA and CEBS disclosures. Each panel displays a separate estimation. Dependent variable is *Nationality at HQ*, defined as a dummy variable indicating whether the nationality of a target country is (or has ever been) represented among the employees of the bank at headquarters, sourced from BankFocus. *Bank Branches* measures the number of bank branches (in thousands) that the bank owns in the target country. *Log of Bank Branches* measures the logarithmic number ($x + 1$) of bank branches (in thousands) that the bank owns in the target country. *Share of Bank Branches* measures the bank branches that the bank owns in the target country divided by the total number of bank branches it owns across all target countries. All branch-related information is from SNL Financial. For the detailed construction of the data, see Section 3. Robust standard errors are clustered at the bank level and reported in brackets. *Significant at 10%; **significant at 5%; ***significant at 1%.

A further implication relates to how banks should think about the composition of managerial teams. In our framework, biases transmitted by bank managers of different nationalities cut in different directions. If cultural biases matter, and if their influence is partially imposed via the national composition of managerial teams, then diversity in bank management could bring a more balanced view of potential investments and consequently a more efficient portfolio allocation.[56]

7. Conclusion

Individuals vary in the trust they place in residents of other countries. This variation has been shown, using aggregate country-level data, to affect a range of cross-border transactions. We consider how these cultural stereotypes (or biases) influence

56. Consistent with this view, a recent literature across social sciences documents the benefits of cultural diversity in increasing the informational quality of consensus decisions reached within group settings (see, among others, Herring, 2009; Levine et al., 2014; Page, 2019; Merkley, Michaely, and Pacelli, 2020).

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investment decisions at the individual bank level. Building on the geography of branch networks, we develop a bank-specific measure of these cultural stereotypes. This allows us to compare the sovereign exposures of banks headquartered in the same country, at the same point in time, with regard to the same target country of investment, thus ruling out omitted factors at the country and country-pair level that potentially confound previous analyses.

Using data on the sovereign bond portfolios, we then show that the trust of residents of a bank's countries of operation in residents of the country that is a potential target of investment has a positive, statistically significant and economically important impact on its sovereign exposures. This is the first evidence of the importance of cultural biases for bank lending to governments. It is the first analysis of the acquisition and transmission of such biases via the operation of multinational bank branch networks.

Well-diversified, relatively sophisticated banks are less likely to be influenced by trust biases. Similarly, banks with well-diversified branch networks and management teams suffer less from such biases. For a bank with a branch network that is well diversified geographically, the overall bias transmitted by different national branches will tend to zero. Since trust bias can take on both positive and negative values, the pluses and minuses will tend to cancel out as more nationalities are represented in decision-making processes.

Our findings have implications for the operation of financial markets. Because we are comparing banks from the same home country investing in the same target country, and because we are focusing on sovereign debt markets where lender-borrower interactions are not relational and default is rarely selective, trust differentials affecting portfolio composition may lead to inefficiencies in investment decisions of banks. Insofar as trust-induced differences in portfolio decisions across banks have nothing to do with the fundamental risk-return trade-off of investing in the target country but simply reflect cultural stereotypes held by that bank's employees and board, they are likely to indicate divergences from optimal portfolio allocations.

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